

Prompt 1: scan the numbers

The Home Depot, fiscal years ended January 2023 to February 2026, with the latest quarter. Prompt version 2.8, run 2 October 2026 on the statements workbook, two annual reports and two results releases. Test output: a real company used for testing only.

Measure	FY Jan-23	FY Jan-24	FY Feb-25 (53 wks)	FY Feb-26	Q2 Aug-25	Q2 Aug-26	Industry
DSO (days)	7.7	7.9	11.4	12.4	11.8	13.2	
Days inventory	86.6	75.1	81.9	85.6	75.0	77.0	
Days payable	39.8	35.9	41.7	38.1	39.5	38.9	
Receivables growth minus sales growth (pts)		3.3	42.8	10.9	1.9	12.8	
Inventory growth minus cost-of-sales growth (pts)		-12.9	7.4	6.7	2.9	2.8	
Payables growth minus cost-of-sales growth (pts)		-9.5	14.5	-7.1	-5.8	-1.5	
Receivables / sales (%)	2.1	2.2	3.1	3.4			2.8
Inventory / sales (%)	15.8	13.7	14.7	15.7			16.8
Payables / sales (%)	7.3	6.6	7.5	7.0			9.4
Gross margin (%)	33.5	33.4	33.4	33.3	33.4	33.7	34.2
Operating margin (%)	15.3	14.2	13.5	12.7	14.5	14.3	11.9
Accruals (NI - CFO) / avg assets (%)		-7.9	-5.8	-2.2	-0.1	-0.6	
Free cash flow / net income (x)	0.67	1.19	1.10	0.89	0.82	0.95	
Depreciation rate (%)			7.4	7.4			
Capex / depreciation (x)	1.12	1.05	1.04	1.05			1.20
Beneish M-score		-2.80	-2.12	-2.42			
Acquisitions, cash paid	0	1,514	17,644	5,410	77	1,047	

Cost line: "Cost of sales". The depreciation rate uses the annual report's depreciation and finance lease amortization expense over property and equipment at cost excluding land and construction in progress; capex against depreciation uses the cash-flow depreciation line. The latest quarter is Q2 ended Aug-26, taken as reported from the quarterly sheets, so the Q4 release columns were not needed.

Flags

- Receivables outgrew sales: +47.3% against +4.5% in FY Feb-25, +14.2% against +3.2% in FY Feb-26, +18.5% against +5.7% in Q2 Aug-26; DSO 7.9 to 12.4 days, and 3.4% of sales against the industry's 2.8%. The SRS (\$17,644m, FY Feb-25) and GMS (\$5,410m, FY Feb-26) acquisitions could explain it.**
 Size: excess balance at the prior year's receivables-to-sales ratio, \$535m, 2.9% of pre-tax income. Persistence: 3 consecutive years and 2 consecutive Q2 comparisons.
- Inventory outgrew cost of sales: +11.8% against +4.4% in FY Feb-25, +10.1% against +3.4% in FY Feb-26; days inventory 75.1 to 85.6. GMS (acquired September 4, 2025) could explain part of the latest year.**
 Size: excess balance at the prior year's inventory-to-cost-of-sales ratio, \$1,568m, 8.4% of pre-tax income. Persistence: 2 consecutive years, plus a positive gap in both Q2 comparisons.
- Operating cash flow fell 17.6% in FY Feb-26 against a 4.4% fall in net earnings: free cash flow to net income 1.19x to 0.89x over two years, accruals -7.9% to -2.2% of average assets. The annual report cites "timing of vendor payments and increased inventories" and a deferred tax payment (p. 37).**
 Size: net earnings less free cash flow, \$1,510m, 8.1% of pre-tax income. Persistence: 2 consecutive years of rising accruals and falling cash conversion.

4. Operating margin fell three years running, 15.3% to 12.7%, with gross margin flat and SG&A up from 16.7% to 18.6% of sales; still above the industry's 11.9%.
Size: operating income forgone at the prior year's margin, \$1,334m, 7.2% of pre-tax income. Persistence: 3 consecutive years.
5. Payables sit below the industry and fell in the latest year: 7.0% of sales against the industry's 9.4% (26% below); days payable 41.7 to 38.1 as payables fell 3.7% while cost of sales rose 3.4%.
Size: shortfall against the prior year's payables-to-cost-of-sales ratio, \$853m, 4.6% of pre-tax income (part of flag 3's cash gap). Persistence: 1 year (the prior year rose); negative in both Q2 comparisons.

Revised figures: the Revisions sheet lists four later changes, all reclassifications (intangible assets split out of other assets, \$3,606m at Jan-24; intangible amortization split out of cash-flow depreciation, \$179m FY Jan-23, \$186m FY Jan-24, \$52m Q1 Apr-24); none moved income or equity.

Not calculated: allowance for doubtful accounts (not shown in the spreadsheet or on the balance sheets; both annual reports say the valuation allowance was not material, p. 48); depreciation rate before FY Feb-25 (no property at cost for Jan-23 in the attached reports); growth gaps, accruals and M-score for FY Jan-23 (no Jan-22 balance sheet); quarterly M-score and depreciation rate.

Items to check, not findings. Every figure was calculated in code from the attached documents; the code is available on request.